



The Children's Investment Fund

Q1 2011 Report

Fund Performance

Period	Master Fund Assets (€m)	Class A (3yr) \$	Class A (3yr) €	Class C (5yr) \$	Class C (5yr) €	Class D (Q) \$	Class D (Q) €	MSCI World (\$)
Jan 2011	4,485	+1.60%	+1.63%	+1.60%	+1.63%	+1.60%	+1.63%	+2.19%
Feb 2011	4,706	+6.49%	+6.56%	+6.49%	+6.56%	+6.49%	+6.56%	+3.33%
Mar 2011	4,380	+2.81%	+2.69%	+2.81%	+2.70%	+2.81%	+2.70%	-1.24%
Q1 2011		+11.25%	+11.21%	+11.25%	+11.22%	+11.25%	+11.22%	+4.29%
2011 YTD		+11.25%	+11.21%	+11.25%	+11.22%	+11.25%	+11.22%	+4.29%
Annualised		+16.77%	+15.94%	n/a	n/a	n/a	n/a	+3.55%
Inception		+207.64%	+192.16%	n/a	n/a	n/a	n/a	+28.81%

Note: January 1, 2004 inception (Class A). Fund performance is net of fees and expenses, includes dividends reinvested and is that of the Cayman feeder fund. Annualised figures since inception (January 1, 2004).

Source: Citco Fund Services (Ireland) Limited, Bloomberg LP, MSCI Barra, The Children's Investment Fund Management (UK) LLP

Key Fund Data

Exposure Summary

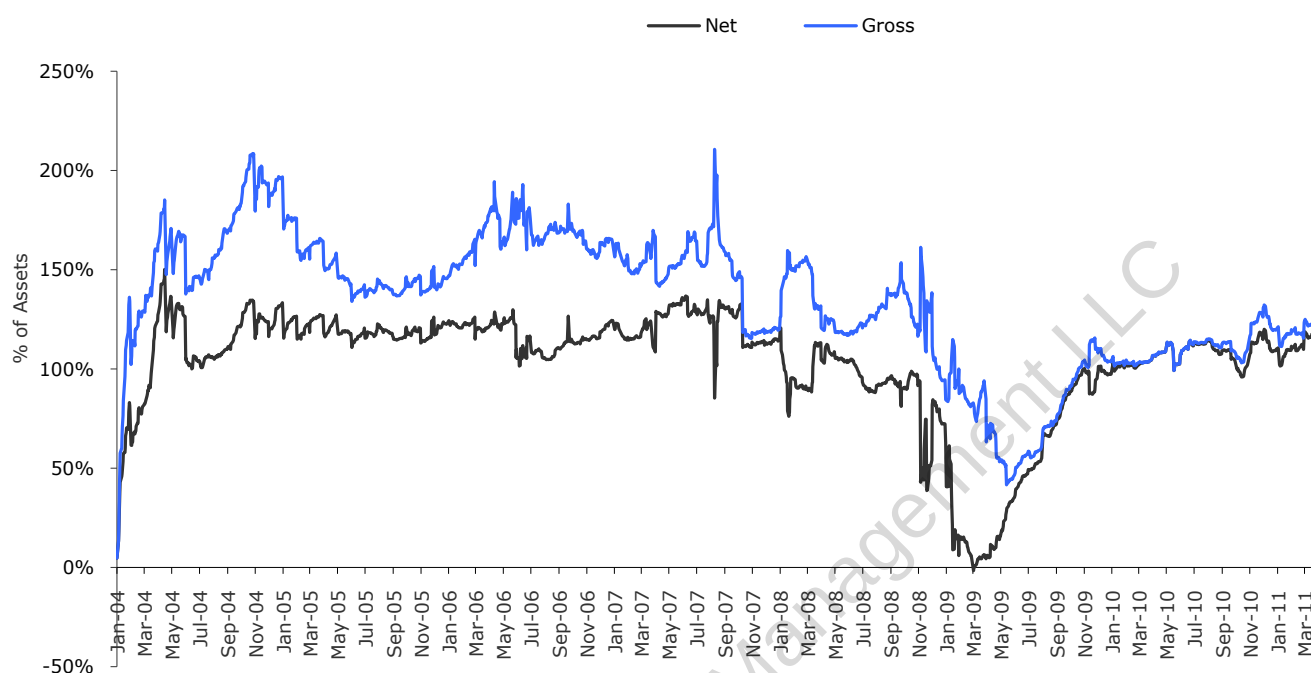
% of Master Fund Net Assets				
Period	Longs	Shorts	Gross	Net
March 2011	130.0%	-1.9%	131.9%	128.1%
February 2011	128.6%	-3.1%	131.7%	125.5%
January 2011	120.5%	-4.2%	124.7%	116.4%

Note: Exposure includes subscriptions and redemptions at month-end.

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

Today, 8th April, long exposure is 131% and net exposure is 128% of Fund's NAV.

The Children's Investment Master Fund Exposure Since Inception



Note: Gross and net exposure figures include equity and debt positions.

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

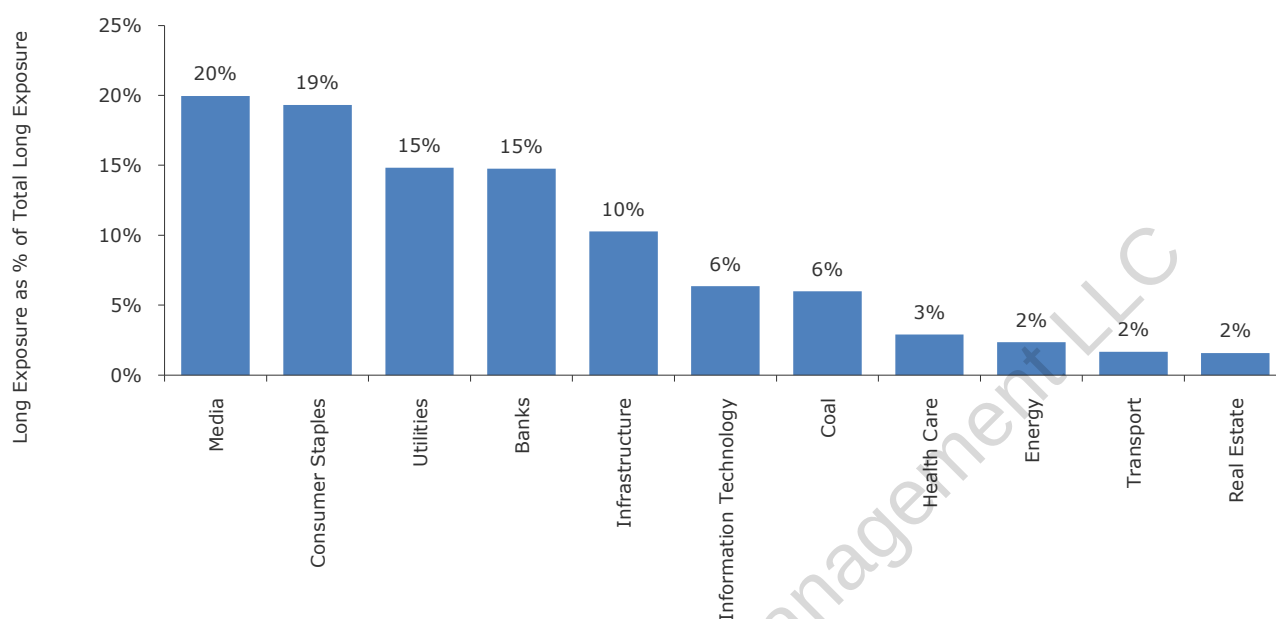
Top 10 Positions as at 31 March 2011	% of Master Fund Net Assets	Q1 2011 % Move, Local Terms
Corporate Debt	21.0%	7.6%*
QR National	10.4%	21.8%
CBS	8.9%	31.4%
Viacom	8.5%	17.5%
Walt Disney	8.4%	14.9%
SAP	8.2%	13.4%
Coal India	7.8%	10.1%
CESP	7.5%	15.2%
Red Electrica	6.6%	13.9%
Unilever	6.2%	-3.21%

*As measured by the Average Return on Capital Employed over the corporate debt positions.

Note: The security may not have been held for the entire period and may represent a different P&L change in comparison to the percentage move in local terms. % of Master Fund Net Assets includes subscriptions and redemptions at month-end. % of Master Fund Net Assets includes subscriptions and redemptions at month-end.

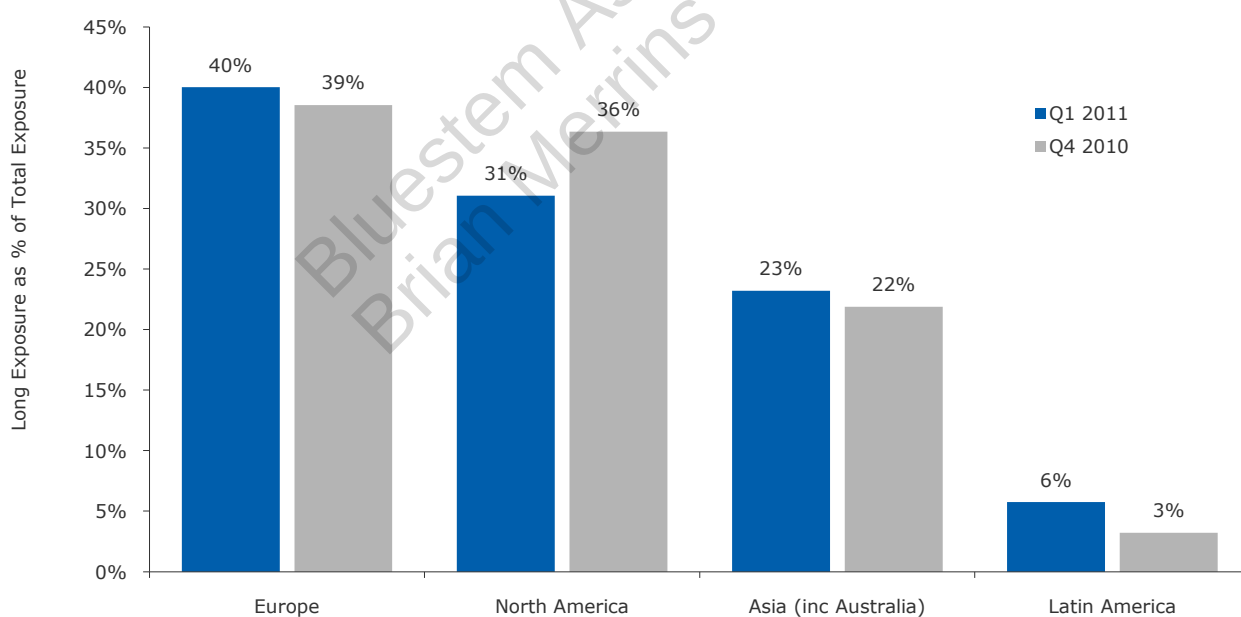
Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

Q1 2011 Portfolio Sector Long Exposure



Note: Sector exposure breakdown refers to the long book, including equity and debt positions.

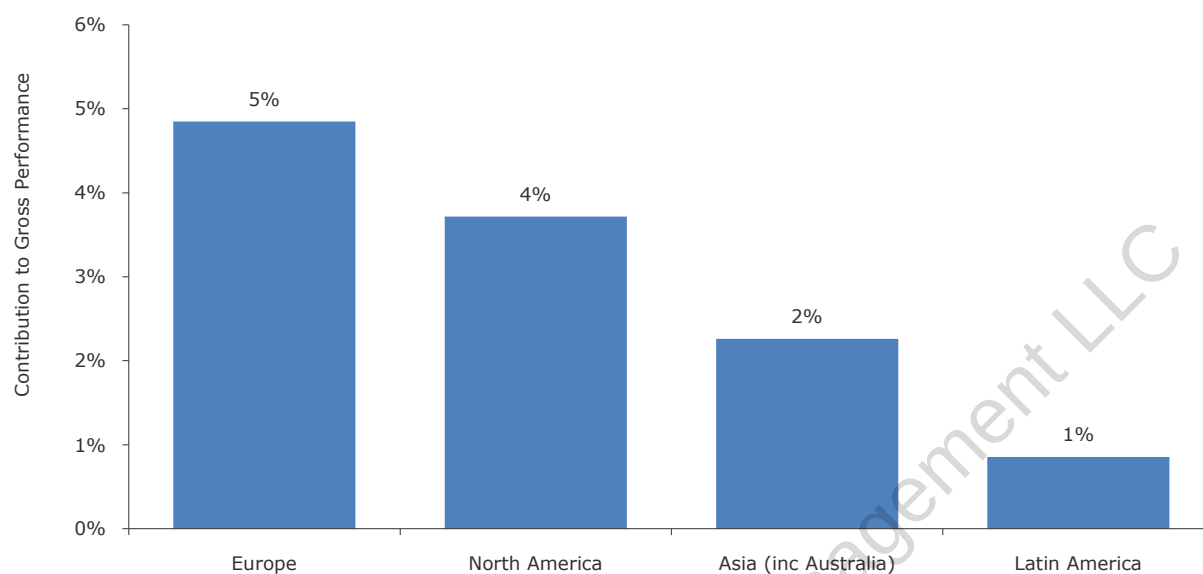
Q1 2011 vs. Q4 2010 Portfolio Geographical Long Exposure



Note: Figures are re-based to a total of 100 and refer to the long book only, including equity and debt positions.

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

Q1 2011 Performance Contribution by Geography



Note: Performance contribution figures refer to the entire fund portfolio (including equity and debt positions).

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

Q1 2011 Highest Performance Contributors

Highest Contributors	% Contribution to Q1 2011 Gross Performance
QR National	1.7%
Lloyds Bonds	1.7%
Viacom	1.3%
CBS	1.2%
SAP	1.2%
Walt Disney	1.1%
CESP	0.9%
Red Electrica	0.8%
Coal India	0.8%
ING	0.7%

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

Q1 2011 Highest Detractors

Highest Detractors	% Detractors to Q1 2011 Gross Performance
Molson Coors	(0.4)%
Short Position	(0.3)%
Infigen Energy	(0.3)%
CME Group	(0.2)%
Short Position	(0.1)%

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

Portfolio Review for Q1 2011

Lloyds Bank

Lloyds bank bonds performed strongly during the quarter. One of the drivers was the issuance of around \$6bn of similar contingent capital bonds by Credit Suisse at an 8% yield, which immediately tightened to a 7% yield, after being heavily oversubscribed. These bonds had a relatively high 7% tier 1 trigger under Basel 3, versus the estimated equivalent trigger for Lloyds of around 3%. The lower the trigger, the lower the likelihood of being automatically converted into equity, and the greater the chance is that there is a rights issue for equity holders, leaving bondholders untouched. Credit Suisse estimate that their 5% tier 1 trigger contingent capital bonds that they expect to issue later this year will come with yields of under 6%. Currently, our bonds trade at over 9% yield to maturity, with optionality from 2012 onwards of the company tendering for them and refinancing with much cheaper senior debt.

The new CEO, Antonio Horta-Osorio, formerly CEO of Santander UK, joined the company formally in Q1 and is highly regarded. He is on record saying that he will aggressively shrink the balance sheet down to a loan-to-deposit ratio closer to parity, significantly reducing the risk of the bank. We also believe that he will likely sell the life insurance division and cut costs aggressively. We do not expect material dividends to be paid for a couple of years, as conservative provisions are taken to further de-risk the book in a way that can be blamed on the prior CEO. We expect all these actions to be bondholder friendly, by reducing the risk of the company.

Lloyds' market cap is currently \$65bn.

QR National

QR National (QR) represents approximately 10% of the Fund's NAV. It is the Fund's largest equity exposure.

Since its IPO in November 2010, the shares have appreciated 34% in absolute terms. It is a classic privatisation/special situation story which, based on our estimates, should give an estimated 15% per annum US dollar 5 year return.

These returns will be driven by re-pricing legacy contracts, significant cost cutting, large quantities (\$6-8bn) of value added growth capex, leveraging the balance sheet and significant coal volume growth in the market place. By financial year beginning June 2012, we believe the company will be on a close to 10% free cash yield ex growth capex and still have significant re-pricing and growth to come for many years. Its significant asset backing of close to \$3 per share of tangible book value and very conservative balance sheet limits the downside of the investment. In addition half the assets and earnings have very low risk, being a regulated completely asset backed business.

At the H1 results the company gave guidance for operating profits for their 2011 financial year of around AU\$480m on a clean basis (excluding the impact of the floods), which was around AU\$80m higher than the level forecast at the IPO. The stock has been performing well, as investors have realised that the company has set market expectations unrealistically low and that there are a number of self help drivers of profit uplift. Amongst these drivers are headcount reduction. During Q1 the company announced a voluntary redundancy scheme offering 3,500 workers (35% of the total workforce) the opportunity to leave the company in return for 1 year of average compensation. So far 660 workers have accepted the offer. From 2013 onwards mandatory redundancies are allowed under the deal agreed with the Queensland Government and unions prior to privatisation. We estimate that at least 2,000 workers will leave the company in total over the next 2-3 years resulting in AU\$200m of cost savings.

In addition to headcount reduction, we estimate that procurement savings will reduce costs by around a further AU\$100m. The company has hired a new procurement head to address the inflated procurement budget of around AU\$1.2bn in the coal business. Prior to privatisation the company was required to buy any product that they could in Queensland.

For example, rail wagons costing 30% lower in China could not be purchased. This will now all change to lowest cost sourcing.

The majority of current coal contracts were signed when QR was government owned at uneconomic returns on capital and QR has already shown the capability to sign 'higher price for higher service' contracts. In February, QR signed a 2.7m ton annual coal contract with Anglo American, with prices per ton carried up around 28% from the old contract. The company commented this would be within the normal range they would expect their contract book to be renegotiated up to, giving hard support to the revenue per ton assumption that we are modelling.

The strength of the H1 results surprised the market, even allowing for the expected lost tonnage in FY11 due to the floods. This shows that management has moved quickly to beat conservative prospectus forecasts for FY June 2011 and 2012, and improve returns in the Above Rail coal business (with a number of contract renewals/wins) and overall cost control.

Despite the challenges of the floods in Queensland last year, the rail track has been returned to full normal conditions. The company expects all lost revenues and repair costs will be recovered. Some mining activity still remains to return to normal, once all mines have been drained of water. Coal volumes transported by QR in H1 2011 (ending December 2010) were actually in line with H1 2010 despite the floods, at around 100 m tons carried. With world steel output up 15% in 2010, we expect strong demand for high quality Australian coking coal and steel to continue with supply constraints putting upward pressure on prices.

Management's strategy remains focused on improving business performance and growth through investment. Roughly half of QR's operations comprise the Above Rail business (mainly rolling stock for transport of export coking and thermal coal mined in Queensland and New South Wales).

Benchmarking to its nearest competitor Asciano reveals significant upside from higher asset utilisation and workforce optimisation, which over time should help to create additional shareholder value. During Q1 we met with John Mullen (Asciano's new CEO) in London and he emphasised a clear goal of pricing new investments in the Above Rail business at 12% after tax, or better, on an unlevered basis giving 18% after tax returns to equity on a 50% leverage assumption.

For the Below Rail business (RAB assets), QR has announced progress on a number of rail expansion projects which, if successful, should deliver attractive returns above WACC and underpin solid earnings growth. Given the conservative risk/return profile of RAB assets, they can sustain significantly leveraged balance sheets. QR's balance sheet was unlevered at the time of the IPO, however it will need to considerably re-leverage over time. This also offers QR the opportunity to enhance shareholder value through judicious share buy-backs over time.

We are happy to attach a copy of a presentation that we have made to the company's board, showing our views on leverage capacity of the company and the significant value added that can be achieved from leveraging a balance sheet that when the company privatised in November 2010 was almost debt free.

US Media (Disney, CBS Corp, Viacom)

The Fund has three investments in Media, which we have carried over from 2010: Disney, Viacom and CBS.

The stocks and the sector have performed very strongly in the first quarter, substantially outperforming the market, with Disney and Viacom up 16% and 17% respectively and CBS up 31%. The major change to our investments in the sector has been to increase our position in CBS from 4% to 9%, otherwise our exposures have not changed dramatically from prior quarters.

Our research diligence during the quarter included multiple meetings with senior management and owners of the major domestic and international media conglomerates, as well as ongoing discussions with media buyers. We also participated in both the Disney and CBS Investor Day conferences.

Disney, CBS and Viacom differ in their relative exposures to the core revenue components, being affiliate, retransmission, syndication and advertising. However, the primary drivers of performance in each case are common: the rising scarcity value of premium content, coupled with a sharp cyclical recovery in advertising and accelerating competition among existing and new distributors.

Advertising prices have rebounded sharply over the past three quarters and scatter prices are currently running 30-40% ahead of the upfront. Not only does this drive significant revenue opportunity in the running quarters, but puts the group in a very strong position to negotiate upfront prices for next year. Importantly, from a macro perspective, this recovery has not yet brought advertising back to trend versus GDP following the collapse in 2009, so we feel this growth has a solid basis.

CBS is proportionately the most exposed to advertising, which drives the fastest upgrade cycle for the group. Nevertheless, we think that Broadcasters (and CBS as currently preeminent among them) have the greatest incremental monetisation opportunities from distributors. The biggest near and mid-term sources of this will be retransmission fees and revenues from alternative distributors, which alone could bring up to \$800m each of extra revenue and profits to CBS over the 5 years. Additional retransmission fees of \$300m will be seen in 2011 and 2012.

Disney's ESPN asset continues to grow strongly. Live sports is the strongest major category for media buyers, driving best-in-class advertising growth, and ESPN's ratings continue to advance particularly in the most important demos. Meanwhile, affiliate fee pricing continues to be high single digit. Disney's leverage to advertising is more moderate than its peers, because of the relative size of the affiliate fee revenue base, and the large consumer product and parks businesses. However, growth rates well into the double digits and near 100% contribution margins in advertising are driving very strong earnings growth.

The Disney media and consumer products franchises were a core focus of the Investor Day. Disney has a uniquely strong position in a highly consolidated market for kids' media, and can drive high value and persistency in core franchises well ahead of peers, by monetising them across networks, film, consumer products and parks.

A further plank of our Disney thesis is that Park margins will recover faster than consensus currently models and approach, if not exceed, prior peaks; a level about which consensus appears sceptical. We think this is driven by headline pricing, reduced discounts and cost cuts. There is clear evidence that pricing and occupancy are all improving in the park business. The US parks business also has multiple precedents of a margin cycle going into and out of recession, which we believe is not significantly different this time around.

Network performance at Viacom in primetime has been exceptionally strong. MTV, Comedy Channel and BET in particular, continue to post very strong primetime ratings of +10% YTD with MTV up in some months +80% year-on-year. The CEO described his position going into the upfront negotiations as potentially the strongest in memory. On around 10x 2012 free cash flow, and a solid growth base of affiliate fees, this performance should continue to drive very attractive earnings growth in the near term, which we believe should be re-rated.

CBS and Viacom have embedded what we perceive to be a number of call options on corporate activity; both are aggressively buying back shares. At least one is probable to be a midterm consolidation target in an industry actively seeking consolidation and increasingly lacking large scale targets. Finally, CBS may be looking to sell its Outdoor Advertising (billboard) business and the proceeds would likely be reinvested in its own shares. The CBS Outdoor business is a strong and a rare asset, which we value at a significant premium to current trading multiple of the group, so we believe that if this transaction happens, it would unlock a lot of value.

We see one year returns of 25% in Disney, 30% in Viacom and 40% to 50% in CBS. The returns in the latter two exclude the optionality due to corporate activity mentioned above.

Our estimates are some way ahead of consensus for the group, reflecting confidence in retransmission economics, slightly higher advertising estimates, a park beat for Disney and the buyback at Viacom.

It is however at CBS where our delta with consensus is the greatest. We forecast around \$3 of free cash flow in 2012, before the potential sale of outdoor, versus a consensus earnings estimate of \$2. A part of this is a structural gap between capex and depreciation which will narrow over time as intangible assets amortise; however the balance is linked to strong growth in both advertising and new revenue streams on a largely stable cost base for the coming few years.

SAP

SAP performed very well in Q1 2011 (up 14%) and we added to our year-end position ahead of very strong Q4 numbers, making it now an 8% position for the Fund.

SAP's large software orders are late cycle and from the checks that we made, we expected evidence of the recovery to come through in the Q4 report. This did indeed occur, with total software sales increasing by 20% in constant currencies and adjusted Q4 EPS up 45% year-on-year.

Management provided strongly positive commentary on the business environment. The CEO said "We showed rock-solid revenue growth across the globe, particularly in the fast growing emerging markets... We have excellent momentum and we are confident in 2011 and beyond". They reiterated their medium-term margin target of 35% (32% in 2010) and forecast organic software growth of at least 10% this year. Following a one-on-one meeting with the CEO at Davos in January, my confidence in the business trends increased and I consider them to be extremely robust.

Strong business conditions for the industry have continued into 2011. Oracle reported their fiscal Q3 on March 24th (this covers the period Nov-Feb) and had blow-out software applications sales, up 34% year-on-year (25% organic growth). Accenture's numbers were also strong. We have reinitiated a modest position in Oracle but prefer the greater complexity and customisation of the applications business, where there is an effective duopoly with SAP, compared to the database business of Oracle.

While predicting individual quarters for SAP is tricky (large licence sales in the last few days can alter the result) we are clearly seeing acceleration in IT spending, which bodes well for the remainder of the year. SAP has two new products (HANA and Business-by-Design) which may improve their growth above management guidance for the next two years. HANA (High Performance Analytical Appliance software, which allows very rapid analysis of huge data feeds) is testing very well with strategic clients. Business-by-Design is their cloud-based ERP offering for mid-sized companies. This has been an area of struggle for SAP in the past, but management are quietly confident of building a substantial recurring mid-market business with their new offering.

Although the stock has moved up, the discounted cash flow value, based on 3% long term license growth and a 10% discount rate, is still 50% higher than the current price, so we still see the company as an excellent long term compounder with massive barriers to entry and growth without capital.

Coal India

Coal India Limited (CIL) was up 10% this quarter.

The key event of the quarter occurred in February, when the company raised prices by an average of 13%. Prices for non-power consumers were raised by 30-100%, while prices for A-B coal grades were hiked by 100% for all consumers. This is the first time that CIL has raised its prices without it being driven by a specific cost increase and adds support to our view that over time the majority of the coal that it currently sells at under half world market prices will re-price to eliminate this huge discount. Until this event the almost universal market view was that the Indian Government, which controls 90% of the company, would not allow any re-pricing.

CIL raised prices on only 40% of its total production, focusing on the non-power market customers. We believe that there will be another price hike later this year to pass on the 5 yearly expected wage increase and, possibly, more.

Market prices for thermal coal reached record levels and Japanese power producers recently settled on annual contracts at a record US\$130/t fob for 6,000 kcal/kg.

Pressure is building on the Ministry of Environment to ease its stance on environmental clearances for additional mining sites. This is the result of mounting problems amongst CIL's customers facing coal shortages, as demand growth is already outstripping supply growth. Recently some progress has been made on this matter and CIL raised its off take target to 454m tonnes for the year ending Mar '12, which is an increase of 4-5% year-on-year. Medium term production and sales growth is likely to accelerate, as there are limited alternatives for Indian coal consumers other than to source their coal from CIL.

One of the interesting upsides not understood by the market is the steady closure of economically unviable underground mines, which are currently heavily loss-making, versus the open cast mines, which are making over \$5bn of operating profits, we estimate. The majority of the work force are currently employed in the underground mines despite these mines representing only 10% of production volume.

Valuations are still very attractive as the unlevered free cash flow yield is 8% in 2011, going to 10% in 2012 and is expected to double in 4 years time. The company has an estimated \$9bn of net cash, no debt and will increase net income from \$3bn to \$12bn over the next 6 years.

On 12.5x our estimated 2012 earnings plus cash we see 35% upside on a one year view.

CESP

CESP performed strongly in Q1, up 15% in BRL terms and 18% in USD terms.

The main driver of this was positive news flow on the concession renewal and the potential privatisation of the company.

CESP's FY 2010 results revealed strong underlying free cash flow generation of R1.2bn (12% yield), further de-gearing of R1.0bn (net debt/EBITDA is now 2.0x which is in line with the company target) and the potential for rapid acceleration of dividends in 2011 and beyond.

We expect to see continuing positive news flow on the industries concession renewal in H1 2011. The Government has stated that it wishes to renew the concessions as a point of principle. It was recently reported that the companies are about to meet with the Ministry of Energy to advance discussions towards a negotiated settlement. The Federal Government aims to conclude the renewal process in 2011. The FY results also revealed that the move to IFRS accounting has added cR3bn to NAV (net increase of R9/share to R39 per share), which should be positive for the concession renewal terms.

The São Paulo Government has recently reiterated its intention to privatise CESP, once the concessions have been renewed. CESP has recently appointed a new CEO, who had been a former CEO and energy minister in São Paulo state. His recent statements suggest management will focus on efficiency improvement and the maximisation of cash flow and dividends.

Despite the strong share price performance in Q1, we still see a very attractive long-term real IRR of 16% and 40-50% upside to fair privatisation value.

Enagas

Enagas shares have continued to make steady progress in Q1, up 7% including dividends.

The 2010 FY results beat market expectations, with EPS of 1.41/share, up 13% in underlying terms. We expect EPS to grow by 9% in 2011 and to broadly maintain this level of growth to 2015, underpinned by expected capex of €700m pa.

Enagas maintained its dividend payout at 60% of earnings but we now expect this to increase to at least 65%, given Red Electrica's move to this level post the Enagas results.

Enagas trades on calendar 2011 P/E of 10x and a dividend yield of around 6%. On current growth expectations, 2013 P/E falls to 8.7x and the dividend yield of 7.5%.

We still see around 30% upside to fair value.

Red Electrica

Red Electrica performed well, up 16% including dividends during the quarter. This is due to strong year end results and outlook, and improving sentiment towards Spanish sovereign risk. Spanish 10 year bond yields (around 5%) have diverged from those of Portugal (now touching an unsustainable 10%).

FY 2010 results included a 19% increase to EBITDA, 30% to EBIT and 16% to EPS in underlying terms to 3.14/share. We expect the outlook for 2011 to remain robust, with EPS growth of 13% and a medium term CAGR in line with this level.

In its strategy update, management reiterated its capex plan of €800m pa to 2015 but positively surprised by extending this to 2020 (expected to be formalised in the National Energy Plan in November 2011). High capex is good for earnings growth and protection against regulatory change. In addition, Standard Values of capex and opex (the basis on which Red Electrica is remunerated) were finally approved and in-line with current actual, so a downside regulatory risk has now been removed (Red Electrica has been waiting nearly 3 years for this).

Red Electrica also positively surprised on dividends, increasing its payout ratio to 65% (from 60%) and maintaining this higher payout going forward.

Red Electrica trades on calendar 2011 PER of 11.3x and a DPS yield of around 6%. On current growth expectations, 2013 P/E falls to 9.0x and DPS yield of 7.2%.

We still see around 30% upside to fair value.

Consumer Staples (Danone, Unilever, Coca Cola)

Danone, Coca-Cola and Unilever share prices have been broadly flat for the quarter adjusting for currencies (+/- 2%), although we added positions in Unilever and Danone mid-quarter at weaker levels.

The Fund's exposures to the sector have changed materially since the back half of 2010, selling down Nestlé, while building on positions in Danone and Unilever through the current quarter as commodity cost fears accelerated.

Coming into the year the consumer staples sector has suffered from sharp rises in soft commodity prices, a function of a strained agricultural supply chain, exacerbated by droughts in Russia, Australia and China. As the benchmark commodity baskets rose by around 10-15% for household and personal care businesses and by 30-40% for many food companies, investors worried that margins would be squeezed.

We believe that the profitability of companies with the right category and geographic exposure will prove resilient, much as they did do in 2008, when the environment was somewhat worse, and the preparedness of consumers to absorb swings in costs was lower. We think that commodity cost fears have actually presented an opportunity to build positions in a select number of very strong, high return, long duration franchises and the risks are excessively discounted. If the business models do again show resilience to a pretty extreme commodity environment, it should reassure the market of the quality of the franchises and permit a re-rating.

We think Danone and Unilever have multiple levers to address the spike in commodity costs from productivity, volume leverage, mix and pricing. We have had numerous confirmatory meetings with senior management across the sector during Q1 to review this investment thesis.

Danone has among the narrowest product exposure of the major consumer goods companies, but its categories and geographic footprint are among the most attractive. Yoghurt, baby food, and clinical nutrition are high growth, high brand equity, highly consolidated segments. Chilled Dairy distribution is not easy to replicate, and majors such as Nestlé and Unilever have struggled persistently to scale in the category in a meaningful way in many markets. Organic growth, operating and financial leverage should drive consistent low double digit earnings growth, which we think is underpriced on a 12.4x 2012 estimated earnings multiple.

Unilever is among the lowliest rated major consumer staples, despite a substantial and well entrenched emerging market franchise, representing more than 50% of the business. It is also in the early stages of a fundamental transformation by Paul Pohlman, formerly the CFO of Nestlé and a senior executive of Procter and Gamble. We believe the opportunity is substantial, given the assets, the historic under-management and the infrastructure; optionality is not reflected in the share price, on less than 13.2x 2011 earnings. The dividend yield is also attractive at 4%.

We see 20-23% total returns in both companies on a one year view, with long duration low-to-mid teens compounding beyond in high quality low risk assets.

Japan Tobacco

Year to date Japan Tobacco's stock is flat.

Having been strongly up earlier in the quarter, JT's stock price corrected 15% intra-quarter, as the Tohoku-Pacific Ocean Earthquake had a devastating impact on Japan as well as the stock market. JT announced it will temporarily halt shipments of cigarettes from March 30 through April 10, in relation to the limited damages to some of its plants. Shipments in April will be 25% of normal volumes and 90% in May, first quarter FY12 forecast is 21bn sticks (or 9bn sticks less than normal). JT's pharmaceutical and food businesses have suffered no material damages to their production and are maintaining nearly normal manufacturing.

As a result, we expect the free cash flow for the year ending Mar '12 to be 10% lower than projected pre earthquake. However we expect production and sales to recover back to normal in two months, resulting in free cash flow per share of JPY 34,000 for the year ending Mar '13, which translates into a 11% free cash flow levered yield (9x P/E). This compares well with the sector, which is trading nearer to 7% and even better with local interest rates, which are near 1%. By March 2013 the company will also be debt free. PMI and BAT trade on an average of around 14x current year earnings.

If JT re-rated to this price it would offer 65% upside over 2 years including expected dividends.

BAT

We held a one-on-one meeting with the new BAT CEO (formerly the COO) during January. He is a very experienced operator, who will drive the business to increased market share and structural price increases. We also met with the CFO of BAT in March and he indicated that he expected costs and volumes to be stable whilst average selling prices to increase by 5-6% in constant currency terms medium term, in line with our expectations. Over the last decade BAT has steadily delivered EPS growth of around 10% and strong dividends on top.

We have BAT trading on 12x P/E 2011 with a 14-15% long term IRR supported by its dominant position in emerging markets, which represent the majority of its profits.

During the quarter, the UK government made two points on tobacco control. It has delayed the introduction of UK display bans. The UK government is still considering its options regarding plain packaging, but has set a deadline for the end of this year to come up with a decision.

Given the stronger constitutional legal defences for intellectual property rights in Europe than in Australia, we doubt that the UK will take the lead on plain packaging.

Wellpoint

Wellpoint was up 23% in Q1, catching up on a very weak performance in 2010.

The big driver of the share price performance was a realisation by investors that healthcare reform does not and will not mean the end of managed care companies and that there are opportunities as well as risks in the reform Act.

We had a frustrating year owning the stock in 2010 - our analysis of the Bill in late 2009 showed us that the valuation of the sector was very disconnected from the fundamentals of healthcare reform, but it has taken time for this view to gain traction in the investment community.

Q4 results for Wellpoint were strong, with EPS up 15% year-on-year despite the increase in unemployment, which reduced their enrolled base. Encouragingly, the company continued to buy back stock from their excess cash; in total they cancelled 17% of the shares outstanding in 2010 and we believe that they will return another \$2bn (8% of the market cap) to shareholders in share buybacks alone in 2011.

Wellpoint has the strongest local networks of any of the managed care companies. Our checks this year show that they are able to leverage the discounts that they get from these networks to increase their market share slightly, while pricing ahead of medical cost inflation. Market share gains and margin expansion is an attractive combination for investors.

The introduction of minimum medical loss ratios has limited the margins that the industry can make, but it has also made it far less attractive for a company to price to win market share, as companies will not be able to recoup these costs in a low medical inflation year. This has caused industry pricing to be very conservative and has blunted competition between plans.

Valuation of the stock is still low. The company trades on a 2011 free cash flow yield of over 10%. We forecast that free cash flow will grow at a 7% CAGR over the next two years and we think that the multiple can expand.

Molson Coors

Molson's shares declined 7% in the quarter.

Volumes continued to be weak, while pricing and cost cuts solid. Miller Coors in the US continues to take modest share from the Budweiser system, and both companies look to have been pretty disciplined on pricing, but this is insufficient to compensate for the weak volumes.

The employment recovery in the US for the moment is confined to the top two income quintiles, which does not help the core beer drinking demographic. During the quarter, we met with SABMiller management. We addressed a number of issues with them: (1) whether the US beer market was indeed structurally impaired, and (2) whether the net benefit of the cost savings in the US would fall to the bottom line. We continue to feel that the US is a modest growth market for beer, that the volume downturn has been cyclical and that the management running the Miller Coors business are committed to letting the cost savings drop to the bottom line.

On a pre-goodwill basis Molson trades on 11.5x 2011 and 9.5x 2012 earnings. We think that in the event of a volume recovery the operating leverage on a rationed cost base will be strong. Without volume recovery we think a fair multiple for the business is 12-13x, which would give a one year return of around 30%.

ING Groep NV

ING shares were up 28% this quarter, on reduced solvency concerns related to peripheral countries in Europe and realisation of a large mispricing in the stock by the market. As the stock rallied, we steadily reduced and eliminated the position, making a large gain for the Fund. We hedged the position with a short exposure to Commerzbank, that heavily underperformed ING due to a massive shortfall of capital.

Fourth quarter results were solid, net interest margins were better than expected as mortgage spreads, which account for 60% ING's loan book, improved. Operational expenditures for the bank were slightly higher due to a new deposit guarantee scheme, higher staff costs and IT related costs. Non-performing loan provisions continue to trend down and guidance is for 40-45bps versus the 50bps we assume.

At a recent conference we attended, the Chief Risk Officer, Mr. Timmermans, indicated that Basel 3 regulations will reduce their core tier 1 ratio by 1.3%, versus 0.7% previously indicated, which is mostly related to the deduction of deferred taxes. This only affects their core tier 1 ratio on a spot basis as the DTA's will be offset against future profits. Based on our calculations, core tier 1 will be around 9% by year end 2012 under Basel 3 however this implies no significant dividend payments for two years.

Link REIT

We met with the Link CEO at a conference in Beijing during the quarter. Underlying fundamentals for Link are still strong and the CEO has been buying shares personally. Retail sales in Hong Kong were up 18% last year and are expected to grow double digits again this year. Introduction of minimum wages in May will increase low incomes (which affect a large portion of Link's customer base) by 15-20% and retail rents in Hong Kong are expected to increase by 20% according to Savills.

Link is looking to continue its high single digit top line growth for the next two years, when the bulk of the rental reversions and asset enhancements are completed. They focus on brand building, post upgrade of their malls, in order to attract higher quality tenants who can afford to pay higher rents.

Actual net cap rates in the market are close to 4%, which implies 30% upside and a 13% IRR for Link. Dividend yield for the year ending March 2012 is over 5%, which compares well with real interest rates, which are negative in Hong Kong.

United Parcel Service

We initiated a position in United Parcel Service (UPS) during the quarter.

UPS is the largest package delivery company in the world. It operates in 3 divisions: (i) US domestic package, which is the delivery of parcels domestically by truck or air, (ii) International package, delivering to more than 200 countries worldwide and (iii) Supply Chain & Freight, which includes freight forwarding, contract logistics, and a less-than-truckload business. Approximately 6% of US GDP moves through UPS's integrated parcel network.

The structure of the US package delivery market changed dramatically in 2009, when DHL finally exited the market. DHL had taken over Airborne Express in 2003, in an attempt to break into the US market and, after 5 years, had achieved an 8% market share and cumulatively lost about \$10bn. DHL could not match the performance, scale or service of UPS and FedEx and so had marketed itself as the low-priced competitor. This created a long period of aggressive price competition within the industry and some irrational behaviour (DHL's next-day air prices had sometimes been priced below UPS's 5-day ground product). In this environment, UPS struggled and when volumes declined during the recession its domestic margins fell from 16% in 2006 to 8% in 2009.

After an initial land-grab for DHL's business in 2009, the market has now evolved into a newly rational duopoly, with UPS and FedEx controlling nearly 90% of the market (the US Postal Service makes up the balance). Both companies have committed to 'a multi-year yield management strategy', a euphemism for raising prices.

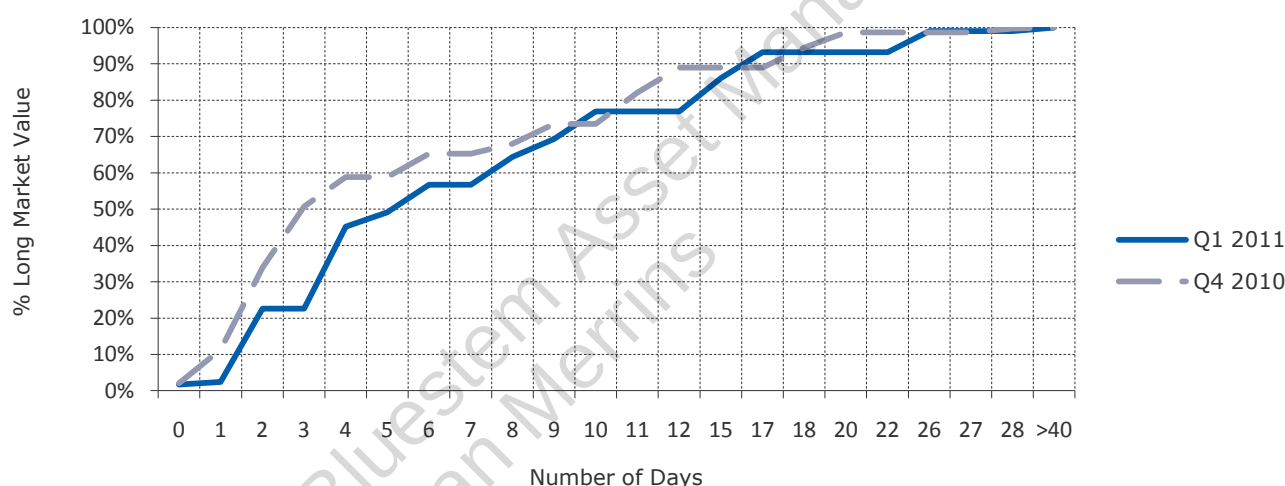
Pre-DHL's exit, UPS had captured around 70% of its announced list-price increases (as large customers tend to get discounted rates). The price rise in January 2011 was 5%, so any return to previous capture rates should result in real pricing for the company for the first time in many years (its cost base inflates at under 2% due to fixed union contracts and productivity initiatives).

Operating margins in UPS's domestic business exited 2010 at 12.9%, above trough levels seen in 2009, but still well below the previous peak, so the opportunity exists for a return to more normal levels of profitability. We met with the CFO and the Treasurer this quarter (twice) and they confirmed the company's goal to improve domestic margins "substantially" and achieve real pricing above inflation on a multi-year basis.

Therefore we think that the industry is attractive because barriers to entry are high, due to capital and technology requirements and the difficulty in executing (delivering 15 million packages a day is not easy, as DHL found out). Furthermore, UPS benefits from network economics, which means that every additional parcel that travels across the company's 100-year old network generally requires less capital and is incrementally more profitable than the first. Hence, it should continue to enjoy significant operating leverage as the global economy expands and volumes grow.

On our numbers the stock trades at under 14x 2012 earnings, which is reasonable value for a company that should grow earnings over 20% in the next two years. The company has also consistently returned all of its net income to shareholders, in the form of dividends and share buybacks, which should deliver cash returns of over 5% pa.

Liquidity Analysis



Notes: Liquidity is based on the average three-month trading volume data from Bloomberg assuming 100% of trading. Analysis is based upon long equity and equity swap positions only.

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

Market Capitalisation of Portfolio

<\$5bn	6%
\$5bn - \$10bn	27%
>\$10bn	67%

Notes: Analysis is based upon long equity and equity swap positions only.

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

Outlook

Economies around the world continue to expand with forecast global GDP this year of over 4%. Risks are well documented – very high oil, food and other commodity prices – potentially leading to consumer spending being hurt. The end of QE2 and high inflation could lead to a bond market sell-off in the US and an equity market sell-off. There is no real agreement as to whether stocks are cheap or expensive due to the debate over whether companies are cyclically over earning. Medium term US GDP cannot continue to be supported by US government deficit spending of 10% of GDP pa.

Our view is that a good equity portfolio is the least bad alternative for investors compared to cash, bonds and commodities. It provides inflation protection when the level of debt in the US and Japanese systems may well end up being monetized by central banks as the only way out.

We also believe we can add alpha with our portfolio and that it can offer a 15%+ average compounding over the medium term.

We remain heavily aligned with investors, with 10% of the Fund representing GP capital today.

Personnel

During the quarter we hired Samuel Sibony as a credit analyst and trader. Samuel has over seven years experience, most recently at Barclays Capital where he worked in distressed trading. Samuel will help us to work on finding new opportunities in stressed and distressed, as well maintaining our bond portfolio. Oscar Hattink, one of our analysts, will leave the firm at the end of the summer.

Investor Relations

New Proposed Fund Terms

To reward your loyalty and continued support over the years, we are delighted to communicate our intention to introduce a hurdle rate on the incentive fees charged by the Fund, such that incentive fees would only be charged on any performance in excess of a hurdle.

Given the Fund's absolute return objectives, we propose using US Libor plus 300 bps as the hurdle rate.

It is likely that the hurdle concept will be implemented by introducing four new hurdle classes which are equivalent to the existing classes (A, B, C and D), except for the inclusion of a hurdle rate in the calculation of the incentive fee. Investors will be able to exchange their existing holdings into the new classes once they reach their existing high watermarks. The existing commitment periods in relation to classes A, B and C will not be reset.

We are also looking to smooth the overall liquidity profile of the Fund's capital for the benefit of all investors.

We would like to migrate the class D calendar quarter dealing days to quarterly dealing days determined by the acquisition date of your holding, i.e. if your holding was acquired on 1 February, the new quarterly dealing days would be 1 February, 1 May, 1 August and 1 November.

There will be no change to the redemption dealing frequency or the 3 months' notice of redemption for class D.

We would welcome any feedback you may have on the proposal. We hope to be in a position to implement the changes during this summer.

Q1 2011 Investor Conference Call

The Q1 investor conference call will take place Monday, 11th April 2011 at 16:00 BST. Investors who would like to attend the call are kindly asked to register using the invitations that have already been distributed.

2011 Investor Conference

As a gentle reminder, the 2011 Investor Conference for TCI and affiliates will take place at the Mandarin Oriental Hotel in New York from Monday 27 to Wednesday 29 June 2011. The TCI presentation will be on Tuesday 28 June 2011.

Invitations will be sent to investors shortly. We hope to see as many of you as possible. Please note that to attend the event, registration is required.

Citco New Transfer Agency System

Citco will be moving to a new improved transfer agency system, Æxeo Investor, a fully integrated solution for the maintenance and administration of investor transactions and records. Following the migration to Æxeo Investor, Citco investors' reporting will be upgraded to include, amongst other information, the commitment period, the notice period and the next eligible dealing date. Enhanced monthly statements are expected to be issued towards the end of Q2 2011.

TCI Affiliated Investment Managers

Algebris

Last quarter we informed you of the expanded product offering of our affiliated specialist financials manager, Algebris Investments.

Please find below an update Algebris' two most recent fund launches.

Algebris officially entered the UCITS market by launching the MS Algebris Global Financials UCITS Fund on 4th January 2011. The fund is a partnership between Algebris, Morgan Stanley and the MS FundLogic Alternatives platform. The fund invests in financials, with the same fundamental research/bottom up stock picking approach as the flagship hedge fund, but with some modification due to the liquidity and leverage constraints inherent in the UCITS framework. The fund currently has ~€50m AUM.

Algebris also launched the Algebris Financial CoCo Fund on 8th March 2011. This is the first fund dedicated to investing in CoCo and hybrid debt securities of financial companies. The fund has been designed to capture the coupon and any underlying price changes while protecting capital through the use of CDS and by occasionally shorting the equity component (where appropriate during a conversion or risk of conversion). It is expected to realize an income of 8-10% pa and has both distributing and accumulating share classes. The fund currently has €115m AUM. For information on Algebris, please contact Jordan Cook (jordan@algebris.com).

Parvus

Parvus currently manages circa €1.9bn. The long only strategy will be closing shortly and the long/short strategy is selectively open to new investments. For information on Parvus, please contact Rahul Moodgal (rahul@parvustfunds.com).

Christopher Cooper-Hohn

Managing Partner
April 2011

Appendix 1 – The Children's Investment Fund Performance Since Inception

Period	Assets (€m)	Class A (3yr) \$	Class A (3yr) €	Class B (5yr) \$	Class C (5yr) \$	Class C (5yr) €	MSCI World (\$)
Jan 2004	375	+1.36%	+1.44%	+1.41%			+1.54%
Feb 2004	532	+5.08%	+5.09%	+5.26%			+1.55%
Mar 2004	554	+2.75%	+2.93%	+2.78%			-0.89%
Q1 2004		+9.44%	+9.73%	+9.71%			+2.20%
Apr 2004	735	+3.70%	+3.88%	+3.77%			-2.22%
May 2004	872	+0.40%	+0.45%	+0.43%			+0.67%
Jun 2004	1,081	+2.82%	+2.86%	+2.90%			+1.91%
Q2 2004		+7.05%	+7.33%	+7.23%			+0.32%
Jul 2004	1,088	-0.24%	-0.20%	-0.24%			-3.34%
Aug 2004	1,114	+0.85%	+0.94%	+0.88%			+0.26%
Sep 2004	1,173	+4.86%	+4.90%	+5.00%			+1.77%
Q3 2004		+5.50%	+5.67%	+5.67%			-1.38%
Oct 2004	1,187	+2.35%	+2.34%	+2.41%			+2.37%
Nov 2004	1,435	+4.93%	+5.09%	+5.31%			+5.09%
Dec 2004	1,589	+6.94%	+6.86%	+7.13%			+3.73%
Q4 2004		+14.85%	+14.93%	+15.54%			+11.59%
2004		+41.95%	+43.04%	+43.65%			+12.84%
Jan 2005	1,960	+6.45%	+6.51%	+6.68%			-2.31%
Feb 2005	2,265	+3.80%	+3.83%	+3.90%			+3.01%
Mar 2005	2,275	-1.07%	-1.04%	-1.07%			-2.17%
Q1 2005		+9.32%	+9.44%	+9.65%			-1.55%
Apr 2005	2,502	-0.02%	-0.05%	-0.02%			-2.39%
May 2005	2,856	+3.46%	+3.46%	+3.59%			+1.52%
Jun 2005	3,271	+6.15%	+6.15%	+6.35%			+0.71%
Q2 2005		+9.80%	+9.77%	+10.14%			-0.21%
Jul 2005	3,624	+4.47%	+4.41%	+4.61%			+3.43%
Aug 2005	3,754	+2.03%	+1.88%	+2.08%			+0.56%
Sep 2005	4,055	+7.11%	+7.03%	+7.31%			+2.47%
Q3 2005		+14.17%	+13.86%	+14.59%			+6.57%
Oct 2005	4,050	-3.68%	-3.80%	-3.77%			-2.49%
Nov 2005	4,605	+5.06%	+5.06%	+5.20%			+3.14%
Dec 2005	5,421	+7.92%	+7.72%	+8.12%			+2.14%
Q4 2005		+9.21%	+8.86%	+9.45%			+2.73%
2005		+49.66%	+48.90%	+51.48%			+7.56%
Jan 2006	5,782	+6.38%	+6.10%	+6.61%			+4.41%
Feb 2006	6,012	+3.97%	+4.15%	+4.12%			-0.29%
Mar 2006	6,809	+3.72%	+3.27%	+3.84%	+3.65%	+3.44%	+1.96%
Q1 2006		+14.71%	+14.11%	+15.26%	+3.65%	+3.44%	+6.14%
Apr 2006	7,183	+5.91%	+5.64%	+6.10%	+5.80%	+5.54%	+2.87%
May 2006	6,225	-9.18%	-9.11%	-9.64%	-9.56%	-9.57%	-3.72%
Jun 2006	6,767	+3.38%	+3.27%	+3.71%	+3.96%	+3.93%	-0.18%
Q2 2006		-0.56%	-0.84%	-0.57%	-0.53%	-0.81%	-1.13%
Jul 2006	7,495	+3.75%	+3.61%	+3.87%	+3.68%	+3.54%	+0.55%
Aug 2006	7,828	+3.71%	+3.50%	+3.83%	+3.37%	+3.43%	+2.38%
Sep 2006	7,843	+0.03%	-0.12%	+0.03%	+0.00%	-0.12%	+1.07%
Q3 2006		+7.63%	+7.11%	+7.88%	+7.17%	+6.96%	+4.05%
Oct 2006	8,307	+4.01%	+3.88%	+4.13%	+3.72%	+3.29%	+3.61%
Nov 2006	8,615	+3.04%	+2.93%	+3.13%	+2.99%	+2.88%	+2.27%
Dec 2006	8,945	+5.63%	+5.53%	+5.78%	+5.54%	+5.44%	+1.95%
Q4 2006		+13.21%	+12.84%	+13.60%	+12.74%	+12.05%	+8.02%
2006		+38.99%	+36.76%	+40.45%	+24.57%	+22.97%	+17.95%

Period	Assets (€m)	Class A (3yr) \$	Class A (3yr) €	Class B (5yr) \$	Class C (5yr) \$	Class C (5yr) €	Class D (Q) \$	Class D (Q) €	MSCI World (\$)
Jan 2007	9,460	+2.05%	+1.99%	+2.12%	+2.05%	+1.99%			+1.12%
Feb 2007	9,474	-1.25%	-1.27%	-1.29%	-1.25%	-1.27%			-0.65%
Mar 2007	10,145	+6.78%	+6.63%	+7.02%	+6.78%	+6.63%			+1.59%
Q1 2007		+7.61%	+7.37%	+7.88%	+7.61%	+7.37%			+2.06%
Apr 2007	10,762	+4.99%	+4.81%	+5.17%	+4.99%	+4.81%			+4.21%
May 2007	11,151	+4.38%	+4.30%	+4.52%	+4.38%	+4.30%			+2.47%
Jun 2007	10,971	-2.34%	-2.43%	-2.41%	-2.34%	-2.43%			-0.90%
Q2 2007		+7.02%	+6.67%	+7.27%	+7.02%	+6.67%			+5.82%
Jul 2007	11,056	+0.98%	+0.86%	+1.02%	+0.98%	+0.86%			-2.28%
Aug 2007	10,123	-5.97%	-6.14%	-6.16%	-5.97%	-6.14%			-0.27%
Sep 2007	11,308	+9.24%	+8.85%	+9.56%	+9.24%	+8.85%			+4.61%
Q3 2007		+3.73%	+3.04%	+3.86%	+3.73%	+3.04%			+1.95%
Oct 2007	12,048	+8.13%	+8.03%	+8.37%	+8.13%	+8.03%			+2.99%
Nov 2007	12,263	+3.62%	+3.55%	+3.72%	+3.62%	+3.55%			-4.24%
Dec 2007	12,643	+2.79%	+2.76%	+2.86%	+2.79%	+2.76%			-1.37%
Q4 2007		+15.17%	+14.95%	+15.62%	+15.17%	+14.95%			-2.74%
2007		+37.59%	+35.66%	+38.97%	+37.59%	+35.66%			+7.09%
Jan 2008	11,239	-6.24%	-6.38%	-6.24%	-6.24%	-6.38%			-7.71%
Feb 2008	10,714	-2.70%	-2.56%	-2.70%	-2.70%	-2.56%			-0.74%
Mar 2008	10,187	-1.05%	-0.83%	-1.05%	-1.05%	-0.83%			-1.25%
Q1 2008		-9.73%	-9.54%	-9.73%	-9.73%	-9.54%			-9.53%
Apr 2008	12,073	+8.37%	+8.61%	+8.37%	+8.37%	+8.61%			+4.98%
May 2008	12,709	+3.30%	+3.38%	+3.30%	+3.30%	+3.38%			+1.11%
Jun 2008	10,922	-12.96%	-12.68%	-12.96%	-12.96%	-12.68%			-8.10%
Q2 2008		-2.56%	-1.96%	-2.56%	-2.56%	-1.96%			-2.45%
Jul 2008	11,233	+1.81%	+2.02%	+1.81%	+1.81%	+2.02%			-2.53%
Aug 2008	11,639	-2.60%	-2.46%	-2.60%	-2.60%	-2.46%			-1.60%
Sep 2008	10,257	-14.88%	-15.08%	-14.88%	-14.88%	-15.08%			-12.08%
Q3 2008		-15.59%	-15.49%	-15.59%	-15.59%	-15.49%			-15.67%
Oct 2008	9,763	-13.39%	-14.41%	-13.39%	-13.39%	-14.41%			-19.04%
Nov 2008	8,685	-9.67%	-9.78%	-9.67%	-9.67%	-9.78%			-6.72%
Dec 2008	7,093	-2.06%	-2.16%	-2.06%	-2.06%	-2.16%			+3.06%
Q4 2008		-23.38%	-24.45%	-23.38%	-23.38%	-24.45%			-22.18%
2008		-43.11%	-43.37%	-43.11%	-43.11%	-43.37%			-42.08%
Jan 2009	7,422	-4.51%	-4.80%	-4.51%	-4.51%	-4.80%			-8.85%
Feb 2009	7,371	+0.53%	+0.56%	+0.53%	+0.53%	+0.56%			-10.49%
Mar 2009	6,855	-1.40%	-1.68%	-1.40%	-1.40%	-1.68%			+7.23%
Q1 2009		-5.35%	-5.88%	-5.35%	-5.35%	-5.88%			-12.50%
Apr 2009	6,101	-2.08%	-2.10%	-2.08%	-2.08%	-2.10%			+10.90%
May 2009	5,710	+0.26%	+0.26%	+0.26%	+0.26%	+0.26%			+8.62%
Jun 2009	5,668	+0.39%	+0.42%	+0.39%	+0.39%	+0.42%			-0.61%
Q2 2009		-1.44%	-1.43%	-1.44%	-1.44%	-1.43%			+19.73%
Jul 2009	5,571	+4.10%	+4.09%	+4.10%	+4.10%	+4.09%			+8.37%
Aug 2009	4,814	+1.53%	+1.51%	+1.53%	+1.53%	+1.51%	+1.53%	+1.52%	+3.91%
Sep 2009	4,797	+2.30%	+2.25%	+2.30%	+2.30%	+2.25%	+2.34%	+2.25%	+3.81%
Q3 2009		+8.12%	+8.03%	+8.12%	+8.12%	+8.03%	+3.91%	+3.80%	+16.90%
Oct 2009	4,750	+0.75%	+0.72%	+0.75%	+0.75%	+0.72%	+0.75%	+0.70%	-1.85%
Nov 2009	4,794	+3.30%	+3.27%	+3.30%	+3.30%	+3.27%	+3.34%	+3.27%	+3.87%
Dec 2009	5,225	+4.93%	+5.08%	+4.93%	+4.93%	+5.08%	+4.94%	+5.08%	+1.69%
Q4 2009		+9.21%	+9.30%	+9.21%	+9.21%	+9.30%	+9.26%	+9.28%	+3.68%
2009		+10.16%	+9.55%	+10.16%	+10.16%	+9.55%	+13.53%	+13.44%	+26.98%
Jan 2010	4,920	-2.84%	-2.89%	-2.84%	-2.84%	-2.89%	-2.84%	-2.89%	-4.19%
Feb 2010	5,030	+2.51%	+2.54%	+2.50%	+2.50%	+2.54%	+2.50%	+2.54%	+1.23%
Mar 2010	5,323	+5.23%	+5.24%	+5.23%	+5.23%	+5.24%	+5.23%	+5.24%	+5.93%

Period	Assets (€m)	Class A (3yr) \$	Class A (3yr) €	Class B (5yr) \$	Class C (5yr) \$	Class C (5yr) €	Class D (Q) \$	Class D (Q) €	MSCI World (\$)
Q1 2010		+4.80%	+4.80%	+4.80%	+4.80%	+4.80%	+4.80%	+4.80%	+2.74%
Apr 2010	5,263	-2.23%	-2.27%	-2.23%	-2.23%	-2.27%	-2.23%	-2.27%	-0.16%
May 2010	4,997	-9.41%	-9.99%	-9.41%	-9.41%	-9.99%	-9.41%	-9.99%	-9.91%
Jun 2010	4,699	-2.45%	-2.54%	-2.45%	-2.45%	-2.54%	-2.45%	-2.54%	-3.56%
Q2 2010		-13.61%	-14.27%	-13.61%	-13.61%	-14.27%	-13.61%	-14.27%	-13.26%
Jul 2010	4,695	+7.58%	+7.58%	+7.58%	+7.58%	+7.58%	+7.58%	+7.58%	+8.02%
Aug 2010	4,753	-2.42%	-2.56%	-2.42%	-2.56%	-2.42%	-2.56%	-2.42%	-3.92%
Sep 2010	4,758	+8.19%	+8.04%	+8.19%	+8.19%	+8.04%	+8.19%	+8.04%	+9.11%
Q3 2010		+13.58%	+13.26%	+13.58%	+13.58%	+13.26%	+13.58%	+13.26%	+13.24%
Oct 2010	4,798	+3.58%	+3.47%	+3.58%	+3.58%	+3.47%	+3.58%	+3.47%	+3.65%
Nov 2010	4,908	-1.36%	-1.51%	-1.36%	-1.36%	-1.51%	-1.36%	-1.51%	-2.35%
Dec 2010	4,796	+3.41%	+3.37%	+3.41%	+3.41%	+3.37%	+3.41%	+3.37%	+7.25%
Q4 2010		+5.66%	+5.33%	+5.66%	+5.66%	+5.33%	+5.66%	+5.33%	+8.56%
2010		+8.65%	+7.06%	+8.65%	+8.66%	+7.06%	+8.65%	+7.06%	+9.55%
Jan 2011	4,485	+1.60%	+1.63%	+1.60%	+1.60%	+1.63%	+1.60%	+1.63%	+2.19%
Feb 2011	4,706	+6.49%	+6.56%	+6.49%	+6.49%	+6.56%	+6.49%	+6.56%	+3.33%
Mar 2011	4,380	+2.81%	+2.69%	+2.81%	+2.81%	+2.70%	+2.81%	+2.70%	-1.24%
Q1 2011		+11.25%	+11.21%	+11.25%	+11.25%	+11.22%	+11.25%	+11.22%	+4.29%
2011 YTD		+11.25%	+11.21%	+11.25%	+11.25%	+11.22%	+11.25%	+11.22%	+4.29%
Ann.		+16.77%	+15.94%	n/a	n/a	n/a	n/a	n/a	+3.55%
Inception		+207.64%	+192.16%	n/a	n/a	n/a	n/a	n/a	+28.81%

Notes: January 1, 2004 inception except Class C (March 1, 2006). Fund performance is net of fees and expenses, includes dividends reinvested and is that of the Cayman feeder fund. Annualised figures refer to those since January 1, 2004 inception.

Source: Citco Fund Services (Ireland) Limited, Bloomberg LP, MSCI Barra, The Children's Investment Fund Management (UK) LLP